Economic Activities around us

Introduction

- **Activities that create monetary value are called economic activities.**
- **Economic activities help people earn their livelihood and increase the prosperity of a nation.**
- **Economic activities are grouped into different economic sectors based on their similarities.**

Classification of Economic Activities

Economic activities are divided into three sectors:

1. **Primary Sector**
2. **Secondary Sector**
3. **Tertiary Sector**

---

1. Primary Sector

Meaning

- **Activities where people depend directly on nature to obtain raw materials.**

Main Features

- **Uses natural resources.**
- **Produces raw materials.**

Examples

- **Agriculture**
- **Fishing**
- **Forestry**
- **Mining**
- **Raising livestock**

Examples from daily life

- **Growing crops**
- **Collecting wood from forests**
- **Extracting coal from mines**

- Fish farming

---

2. Secondary Sector

Meaning

- Activities that process raw materials from the primary sector into useful products.

Main Features

- Converts raw materials into finished or semi-finished goods.
- Includes manufacturing and construction.

Examples

- Textile factories
- Automobile factories
- Furniture making
- Pharmaceutical industries
- Construction work

Examples from chapter

- Cotton → Clothes
- Wood → Furniture/Paper
- Iron ore → Steel → Automobiles
- Grains → Flour

---

3. Tertiary Sector (Service Sector)

Meaning

- Activities that provide services and support primary and secondary sectors.

Main Features

- Provides services instead of goods.
- Makes transportation, communication, banking, and trade possible.

Examples

- Banking
- Transportation

- **Healthcare**
- **Education**
- **Communication**
- **Software development**
- **Hotels and restaurants**

Examples from chapter

- **Truck drivers transporting goods**
- **Doctors and teachers providing services**
- **Mechanics repairing vehicles**
- **Mobile and internet services**

Interdependence Among Sectors

- **All three sectors are connected and depend on each other.**
- **Raw materials from the primary sector are processed in the secondary sector.**
- **Products are transported and sold through the tertiary sector.**

Example

Milk Production (AMUL)

1. **Primary Sector**
   Farmers produce milk from cows and buffaloes.
2. **Secondary Sector**
   Milk is processed into butter, cheese, ghee, and milk powder.
3. **Tertiary Sector**
   Transport, retail shops, and marketing sell the products.

AMUL Cooperative

Formation

- **Started in 1946 in Anand district, Gujarat.**

- Guided by Sardar Vallabhbhai Patel.
- Led by Tribhuvandas Patel and Dr. Varghese Kurien.

Purpose

- Protect farmers from exploitation by middlemen.
- Farmers collectively managed milk collection and sale.

Benefits

- Increased farmers' income.
- Empowered women and small farmers.
- Expanded milk products across India and abroad.

Other Dairy Cooperatives

- Nandini
- Mother Dairy
- Aavin
- Sudha
- Verka

Important Terms

Monetary Value

- Value measured in terms of money.

Economic Sector

- A broad group of similar economic activities.

Cooperative

- A group of people working together for common economic benefit.

Middlemen

- People who buy goods from producers and sell them to consumers.

Retail

- Selling goods directly to consumers in small quantities.

Export

- Selling goods to another country.

Pasteurisation

- **Heating milk to kill harmful bacteria and preserve it.**

Warehouses

- **Large buildings used for storing goods.**

Paper Production Example

Process

1. **Trees provide wood pulp (Primary Sector)**
2. **Factories make paper and books (Secondary Sector)**
3. **Transport and sale of books (Tertiary Sector)**

Recycling Paper

Benefits

- **Saves trees**
- **Saves water and energy**
- **Reduces landfill waste**

Fact

- **Recycling 1 tonne of paper saves:**
    - **17 trees**
    - **70% energy and water**
